Nosebleed Sports LLC – Founder Summary

This is the plain-English version of the founder closing binder. The Operating Agreement (document 01) controls if anything here reads differently.

What you are signing

Five documents need every founder's signature: the Operating Agreement, the Organizational Consent, the Fair Market Value Memorandum, your own Restricted Unit Issuance Agreement, and the Founder PIIA (IP and confidentiality). The four owners of JGN Media LLC also sign the JGN Member Consent. Everything else in the binder is a company record that Nick signs.

Who owns what

Member	Role	Units	Share of all 10,000,000 units	Share of votes
Nicholas Restivo	CEO	2,000,000 Class A	20%	25.316%
Christian Clark	CTO	2,000,000 Class A	20%	25.316%
Gabriel DiDario	CMO	1,300,000 Class A	13%	16.456%
Stephen Bickel	CIO	1,300,000 Class A	13%	16.456%
Michael Del Bene	CDO	1,300,000 Class A	13%	16.456%
Brock Smith	Co-founder (talent)	150,000 Class B, non-voting	1.5%	none
Reserved for strategic partners		1,950,000 unissued	19.5%	none

The "share of all units" column counts the 1,950,000 reserved units as if they were already issued. Until they are, each holder owns a bit more of what exists (24.845% for a 2,000,000-unit holder, 16.149% for a 1,300,000-unit holder, 1.863% for Brock).

Nobody pays cash

No one buys units. JGN Media LLC, owned by Nick, Gabriel, Stephen and Michael, paid every bill for the app, the website and the Discord from May through November 2026, plus the cost of forming the company: about $12,990. That is recorded as the capital of those four, about $3,247.50 each. Christian receives his units for finishing the build and serving as CTO. Brock receives his for his work under his talent agreement.

The $12,990, and anything JGN pays later, is not a loan and nobody owes it. It simply comes back to the four who put it in before anything else is paid out. After that, every payout and any sale price is split by units.

Vesting

Half of your units are yours on closing day. The other half vest monthly over 48 months while you keep working with the company (20,833 a month for a 2,000,000-unit holder, 13,541 for a 1,300,000-unit holder). If you leave on your own or are removed for cause, the company takes back whatever has not vested. Vested units are never taken away, but if you quit, are removed for cause, or compete, the company can buy them at fair value, with no discounts. Before a sale, no founder can be pushed out without cause.

If the company is sold

If a buyer fires you without cause, cuts your role or pay enough that you resign for good reason, or simply does not keep you on, all of your unvested units vest and you are paid in full within 10 days. The same applies if you die or become disabled after the sale. If you stay on, your unvested portion keeps vesting on the normal schedule, and the money for it is held by an independent escrow agent until it vests.

Votes

Every decision needs yes votes from holders of 70% of the voting units. On today's numbers that means any four of the five founders. Silence never counts as a yes. Brock's units do not vote. Four things also need Nick's written consent while he is working for the company: a sale or dissolution of the company, issuing new units or admitting a new member, changing the Operating Agreement, and removing or replacing the CEO. A vote about one founder (removal for cause, for example) is decided by the other four, and takes any three of them.

Spending

Nick can approve up to $5,000. Every other officer can approve up to $2,000 in their own area. From $2,000 to $5,000 an officer needs Nick's approval. From $5,000 to $25,000 it takes Nick plus two more founders. Above $25,000 it takes a 70% vote. Nick is the only signer on the bank account; every founder can view it.

JGN Media LLC

JGN owns the Nosebleed Sports brand and the social accounts and keeps all revenue from them. At closing JGN hands the app, website, Discord and code to the company, licenses the brand to the company exclusively and forever for the app, site, community and paid picks, promotes the platform through the socials at no charge, and keeps funding the company until it can fund itself. Christian and Brock have no stake in JGN and no say in JGN's own decisions.

Your duties

Do your lane (Section 4.2 of the Operating Agreement), attend the weekly sync and the quarterly review, and answer company business in the Discord or the text group within two business days. Everything you build for the platform belongs to the company, including what you built before closing. Keep company information confidential, use company accounts for company work, and never change a credential or API key without Christian's approval (Section 4.8 covers the case where the CTO cannot act).

Non-compete

For 12 months after you leave, you cannot build or work on a paid picks product, a sports app or community that makes its money from paid picks, or a product whose main purpose is hosting fantasy leagues or contests. Playing fantasy, or running a league on someone else's platform, is fine. Everything else is open to you: media brands, social accounts, free sports content, selling ads and sponsorships, any software or agency business, being a creator.

Taxes

The company is a partnership for tax; you will get a K-1 each year. Talk to your own tax adviser before closing, including about an 83(b) election, which has to be filed within 30 days of closing if you want one. The company does not give tax or legal advice.

Closing day

Sign. The closing date is the day the last signature is in. If that has not happened within 120 days of the first signature, everything resets and we start again.